

Olevel economics

Market Structures

Perfect competition
and
Monopoly



By:-

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Perfect competition

- There are 1000s of producers producing and selling same / homogeneous / standardized products and the market share is so small that it can't influence price level, that is why they are price takers

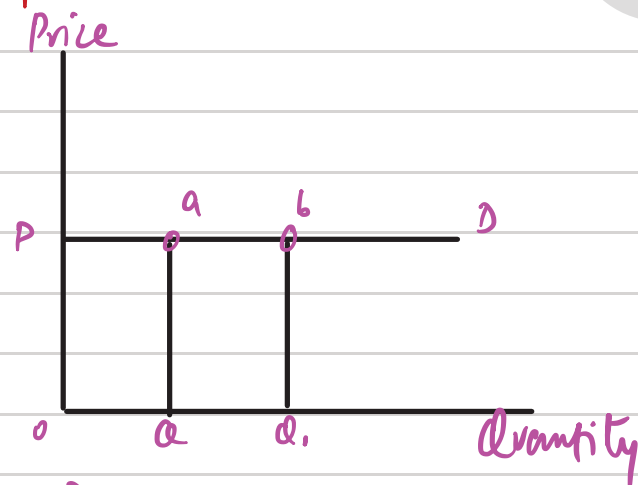
Characteristics

- There are large number of sellers
- There are large number of buyers
- All firms produce an identical or homogeneous product
- There are no barriers to entry and exit

- Perfect Knowledge
- Price taker
- All firms have access to the same information
Abnormal profits / super-normal profits / subnormal profits can only be made in short run; in the long run, only normal profits are made
- There are large number of firms in the market / many buyer and sellers, so each firm's output is too insignificant to affect prices / each firm is a price taker / each consumer is too insignificant to affect prices.
- Each firm produces identical products, products

- are perfect substitutes / demand is perfectly elastic
- There is perfect information, firms know level of profits being made in the market / consumers know prices changed.
- No Barriers to entry and exit, firms will come into the industry if supernormal profits are being made / firms will leave the industry if losses are made or profits are below normal.
- Normal profits are made in the long run, these are just sufficient to keep the firms in the industry
- No advertising, due to perfect knowledge / products identical

- Price taker would apply to a firm that is in a perfectly competitive market structure, where the price is determined by market conditions / all firms in the market have to accept the price / one firm's output is too small to influence the price



$P \uparrow$ $TR = 0$

$P \downarrow$ Loss

$Q_{t1} \uparrow$ $TR \uparrow$ [same percentage]

- As there are 1000s of producers available with perfect knowledge, an increase in price will not be followed by an firm, thus total revenue will be zero. And if the firm decided to reduce its price, having perfect knowledge, all producers will respond and thus, market share will still remain unchanged, thus reducing the price will be a loss

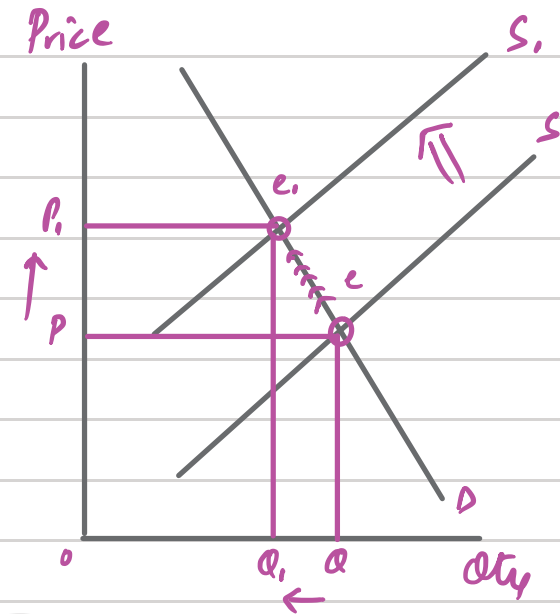
Monopoly

- Monopoly is a firm with highest market share, thus with no close substitutes, making its demand inelastic, it can charge higher price by restricting its supply which creates shortage. This increase in price contracts quantity demanded by smaller percentage, which results in abnormal profits i.e. one of the reasons of market failure

* De-beers, South African, diamond mining company!

Advantages of monopoly

- Greater level of production
- Scope for economies of scale, this could lead to lower cost and possibly lower prices.
- Abnormal profits earned can be used to finance investment in research and development - this can encourage innovation
- A higher price will be charged for less output
- Less consumer choice
- X-inefficiency, in other words, because a monopolist dominates, it may have less incentive to be efficient



Disadvantages of monopoly

- Barriers to entry can lead to abnormal profits in long run, there is no guarantee that these profits will be used to finance investment in research and development.
- Allocative and productive inefficiency

Price maker would apply to a firm which is a monopoly market structure. A monopoly firm is able to use its market power to determine the price it wishes to charge / a monopoly's output is industry's output.

Total revenue :- $OPeQ$

New Total revenue :- $OP_1e_1Q_1$

$TR \uparrow$ or $TE \uparrow$

$\Downarrow$

(Abnormal profits)

More favourable pricing and output

Perfect competition

- * Price may be lower, due to competitive pressure, driven down to a level which just covers costs
- * Output may be higher, as firms will not be restricting its output to drive up price
- * Firms are likely to be responsive to changes in consumer demand, trying to gain a competitive edge.
- * Firms may innovate, perfect information spreads information about new methods/products, competitive pressure may force firms to innovate

Monopoly

- * Monopoly likely to be larger firm, more able to take advantage of economies of scale e.g. technical economies of scale, lower average cost of production, may lead to lower prices.
- * Monopoly may earn supernormal profits, these may be used to innovate. Monopoly may feel safer innovating knowing that it can protect any resulting supernormal profits. Innovation can lower prices and improve quality of products!

Questions

Marks:- 24!

- Q1 Define explain the features of perfect competition? 8
- Q2 Define monopoly and explain its advantages and disadvantages? 8
- Q3 Discuss whether perfect competition has more favourable pricing and output in comparison with monopoly? 8